

CUSTOMER CHURN ANALYSIS

Customer Retention & Churn Intelligence

Portfolio Analysis Report

Customers	Churn Rate	MRR Lost
50,021	28.57%	177,076.08

1. Business Problem

The business is experiencing customer churn and needs to understand where churn is concentrated, why customers cancel, and when churn occurs.

2. Analysis Objective

Analyze customer churn across customer segments, subscription characteristics, customer value, tenure, geography, and support experience to identify key patterns associated with cancellations.

3. Dataset Overview

- 50,021 customer records across 23 fields.
- One record per customer.
- Analysis covers subscription, customer value, cancellation, complaint, escalation, CSAT, geography, and tenure data.

4. Key Performance Indicators

KPI	Result
Churn Rate	28.57%
Retention Rate	71.43%
Average Monthly Charge	19.00
MRR Lost	177,076.08
CLTV of Churned Customers	4.93M
Average Tenure	1,680.67 days
Average Complaints / Customer	0.40

5. Key Findings

Customer Segments

- Basic plan customers show the highest observed churn rate at 59.93%.
- Monthly-contract customers show 55.67% churn compared with 8.34% for annual-contract customers.
- Churn varies substantially by acquisition type: Referral 83.45%, Paid 16.61%, and Organic 0%.
- Geographic churn also varies, with Karnataka at 89.36% and Meghalaya at 77.29%.

Cancellation & Support

- Switching to a competitor is the largest recorded cancellation reason, accounting for 33.60% of churn.
- Customers with complaints show an observed churn rate of 85.51%.
- Among customers with complaints, escalated cases show 98.03% churn versus 66.07% without escalation.
- Among customers with recorded CSAT, average satisfaction is 31.25 for churned customers versus 83.63 for retained customers.

Churn Timing & Customer Relationships

- Customers with 49+ months of tenure account for the largest share of churn at 31.33%.
- Churned customers generally show lower CLTV and monthly charges than retained customers.
- Higher complaint counts and churn scores are associated with higher observed churn.

6. Business Implications

The analysis shows that churn is concentrated across specific subscription segments and is strongly associated with observed customer-support patterns. The findings provide areas for further investigation around contract structure, service experience, competitor switching, and retention of longer-tenure customers.

7. Recommended Areas for Further Investigation

- Investigate why monthly-contract customers have substantially higher observed churn than annual customers.
- Review the customer experience and service issues associated with complaints and escalations.
- Examine competitor switching as the leading recorded cancellation reason.
- Investigate the high churn observed in specific geographic segments.
- Review retention opportunities for customers reaching longer tenure periods.